



Qualification Programme Examination Panelists' Report

Module C – Business Assurance (December 2019 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case is related to a local private cleaning company that manages its payroll process with significant involvement of manual work. As the entity is labour incentive, its payroll management style has caused various issues. Abnormal trends of its monthly payroll were observed. The candidates have to deep dive to the payroll process and respond to the issues being identified. Embedded within the question was a test of the candidates' knowledge of auditors' responsibilities on entity's other information disclosed in its annual financial statements.

Specific Comments

Question 1(a) – 7 marks

The question required the candidates to explain why the entity's payroll process has caused cut-off errors on direct labour wages, but not other payroll accounts because of the specific facts and circumstances described in the case. The candidates generally did not perform well in this question because they were unable to identify the specific question requirements and their answers were too generic which are not specific.

Question 1(b) – 3 marks

The question required the candidates to propose procedures to quantify the cut-off errors identified in Question 1(a). Because of the unsatisfactory result in part (a), this question was not satisfactory. In addition, most of the candidates were not able to quantify the errors as requested in the question.

Question 2(a) – 8 marks

The question required the candidates to identify areas of irregularities or significant fluctuations based on the information provided in the case. It was a practical question which tested how well the candidates applied analytical review when auditing a payroll account. Candidates did not perform well in this question and some of them were not able to demonstrate their analytical skills.



Question 2(b) – 8 marks

The question required the candidates to propose procedures to respond to the areas identified in Question 2(a). Again, as the results of part (a) were not satisfactory, most of the candidates did not perform well in this question. Some candidates answered general procedures without specifically associated with the fact pattern.

Question 3(a) – 4 marks

The question required the candidates to identify internal control weaknesses of the entity's payroll process. Candidates generally performed well on this question as it is quite straight forward and most of the answers could be found from the case.

Question 3(b) – 8 marks

The question required the candidates to propose measures which responded to the control weaknesses as identified in Question 3(a). Candidates generally performed well who can obtain reasonable scores.

Question 3(c) – 4 marks

The question required the candidates to advise how the audit strategies should change to respond to a different situation when misappropriation of funds was uncovered. The situation was quite specific which tested the candidates' abilities to respond to different situations. Candidates did not perform well on this question as they were unable to demonstrate specific changes to be applied.

Question 4 – 8 marks

The question required the candidates to explain responsibilities with respect to other information. This topic is relatively new as the relevant standard was only revised a few years ago. The question was straight forward which tested the candidates' basic knowledge. Candidates performed this question well.

(II) Section B – Essay/Short Questions

General Comments

Section B covers a wide range of topics from ethics and safeguards to professional conflicts, subsequent event identification and follow up procedures, planning IT audit approach, IT risk assessment and related procedures, assessing the reasonableness of discounted cash flow. Most of the questions in Section B are scenario questions which require candidates to apply both analytical skill and business acumen when tackle the questions. Candidates in general are good at questions relating to ethics and relevant safeguards but weak at questions relating to IT audit and questions requiring more analysis on real life simulated facts.



Specific Comments

Question 5 – 9 marks

The question required the candidates to advise whether Chan & Co should participate in the service proposals and explain any ethical and professional issues and the possible safeguards for Chan & Co when considering the proposed services.

Many candidates performed well in this question. They were able to identify the relevant threats to each of the service proposals and advised the relevant safeguards if applicable.

Question 6(a) – 5 marks

The question required the candidates to propose audit procedures to corroborate the statement given by management.

Many candidates performed well in this question. They were able to suggest relevant audit procedures to ascertain if there were any significant events happened after the year end. Some candidates only copied definition of subsequent events from the auditing standards and therefore no marks were scored.

Question 6(b)(i) – 4 marks

The question required the candidates to propose follow up audit procedures in response to the findings as stated in the question.

The performance of candidates in this question was poor. Many candidates suggested follow up procedures such as reviewing the inventory provision policies or testing the sales after year end as to ascertain the net realisable value of the inventories. Many candidates failed to further discuss how should they communicate the findings with management, how can they obtain additional audit evidence to ascertain if there is misstatement to the financial statements and how to assess and communicate such misstatement with management.

Question 6(b)(ii) – 2 marks

The question required the candidates to propose follow up audit procedures in response to the findings as stated in the question.

The performance of candidates in this question was not satisfactory. Though many candidates were able to discuss relevant disclosures should be made in the financial statements in response to the substantial acquisition made after the year end. Many candidates were unable to point out such acquisition was an inconsistency of management's representation and therefore should suggest follow up procedures.



Question 7(a) – 5 marks

The question required the candidates to consider the procedures that Wong & Co should perform before determining the audit approach on the IT system audit.

The performance of candidates vary in this question. Some candidates were able to score high marks by suggesting relevant procedures for planning the audit approach on IT system audit. Some candidates did not read the question requirements carefully enough and suggested substantive audit procedures on testing the IT general controls/application controls which scored no marks.

Question 7(b)(i) – 6 marks

The question required the candidates to evaluate the risk of material misstatements in terms of IT risk based on the facts and circumstances provided in the case.

The performance of candidates was fair. Some candidates were able to discuss the risks of material misstatements identified from the facts provided in the question and provided their explanations. Some candidates were only able to conclude the risk of material misstatements in terms of IT risk was high but failed to provide further analysis and scored low marks.

Question 7(b)(ii) – 6 marks

The question required the candidates to propose relevant audit procedures in addressing the risks of material misstatements identified in Question 7(b)(i).

Many candidates did not perform well in this question. Many candidates were only able to suggest generic audit procedures on IT system, but failed to propose audit procedures in response to the specific risks identified in Question 7(b)(i). Some candidates misread the question requirements and discussed what the company should do in order to address the risks instead of suggesting the relevant audit procedures from the auditor's perspective.

Question 8(a) – 6 marks

The question required the candidates, based on the information provided in the question, to recommend questions to be asked to the management of Sky Limited in order to understand the key assumptions and estimates used in the discounted cash flow calculation.

The performance of candidates in this question was satisfactory. Many candidates were able to suggest relevant specific questions to be asked to the management of Sky Limited. Some candidates were not able to score satisfactory marks. Some of them were not familiar with the discounted cash flow model and therefore failed to suggest relevant questions. Some candidates suggested generic questions and failed to demonstrate that they were able to identify the unusualness in the discounted cash flow calculation.



Question 8(b) – 7 marks

The question required the candidates to propose the audit procedures to assess the fair value of 15% equity interest of Sky Limited apart from understanding the key assumptions and estimates used in the discounted cash flow calculation.

The performance of candidates was not satisfactory. Many candidates failed to suggest relevant audit procedures. Some candidates mixed up the question requirements and did not understand the question was asked from the Universe Limited's auditor perspective instead of from Sky Limited's auditor perspective.

(III) Conclusion and Recommendation

When questions deal with practical applications, candidates generally were not able to provide relevant answers. This may be because candidates do not have much practical experiences on auditing. More workshops or practical forums should be set in order to let our candidates to share their experiences and learn.

The results of the candidates were not satisfactory in general, especially when attempting the scenario based questions. When a specific situation required attention, candidates were weak to demonstrate that they were able to identify particular risks and give appropriate considerations.

Module C builds candidates' competency in tackling the real life practical problems. Candidates are required to understand the principles of the standards and apply common sense and business knowledge in solving the questions.

Candidates should think more carefully of the facts and circumstances provided in the cases, and provide answers that are more specific and relevant to the cases. Candidates should also read question requirements more carefully before attempting questions. In addition, candidates are recommended to attend workshops to enhance their exposure to practical issues.